

Bharat Electronics Ltd

BEL

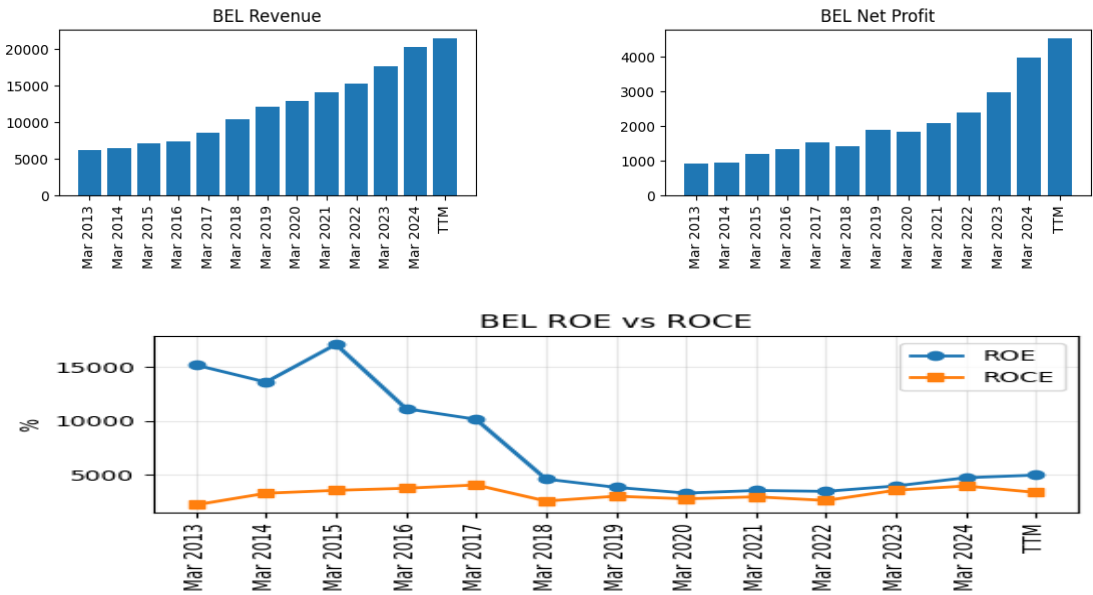
Key Financial Metrics

ROE 4,990.11%	ROCE 3,377.51%	Debt / Equity 0.86
Revenue CAGR 11.25%	FCF Conversion 116.91%	Quality Score 65.84

Company Profile

Company	Bharat Electronics Ltd
Sector	Industrials
Industry	Defence Electronics
Market Cap (■ Cr)	1,354,781.06
P/E Ratio	17.89
P/B Ratio	9.22
Dividend Yield	0.76%

Financial Performance



AI Investment Summary

Bharat Electronics Ltd maintains healthy financial performance and stable business fundamentals. It currently has excellent profitability, strong capital efficiency, steady revenue growth, moderate cash-flow quality and manageable leverage. The overall financial quality score is 65.8/100. Key strengths include: Consistently high return on equity above 20% demonstrates exceptional capital efficiency.; Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.. Key risks include: Two consecutive years of negative free cash flow point to weak cash generation.. Investment recommendation: Buy. Overall, the company appears to be financially strong with manageable risks.

Pros & Cons

Pros	Cons
• Consistently high return on equity above 20% demonstrates exceptional capital efficiency. • Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency. • Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• Two consecutive years of negative free cash flow point to weak cash generation.

Investment Recommendation

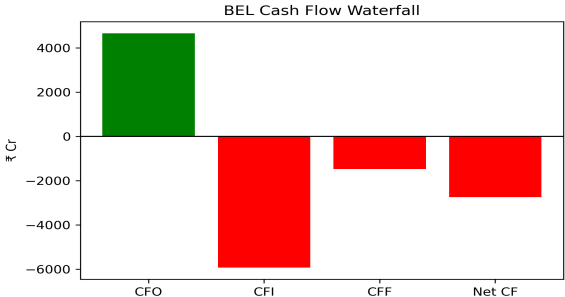
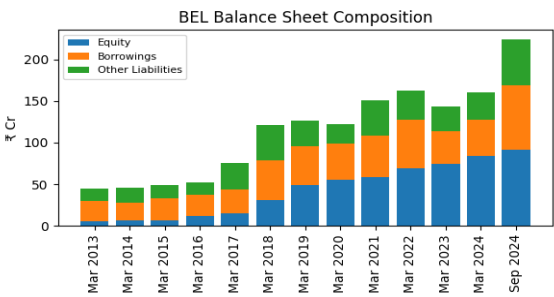
Recommendation	BUY
Risk Level	LOW
Confidence	HIGH

Recommendation Reason:

The recommendation is based on an adjusted financial score of 67.8/100, supported by 5 identified strengths, 1 identified risks, and cash-flow quality rated as Moderate.

Adjusted Score: 67.8

Balance Sheet & Cash Flow



Financial Health

Profitability	Strong
Growth	Strong
Cash Flow	Strong
Leverage	Moderate
Valuation	Cheap

Capital Allocation

Shareholder Returns